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How defence spending will shrink global imbalances and weaken US

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In this note we argue that US withdrawal from security alliances established after the Second World War will result in a fall in global savings. This is as allies seek greater strategic autonomy in three key areas: defence, energy and technology. These areas are highly investment intensive and history suggests that when spending on these sectors rise, private consumption and investment do not fall sufficiently to offset the effect on savings. The result should be lower global savings and higher interest rates.

Because the regions most affected by a changing US relationship are also the world's largest net savers (in other words, they run the lion's share of global current account surpluses), the result should be a fall in global imbalances. There will be less recycling of savings out of Europe, Asia and the Middle East into the US and this will act as a material headwind for the dollar. For the sake of coherence, we focus in this note specifically on the defence angle but aim to build on this framework in the future when it comes to both energy infrastructure investment and technology.

The rapid global rise in defence expenditure

The recent conflict in Iran will accelerate an existing global trend: rising expenditure on defence. According to data from the SIPRI database, 2024 saw the largest rise in defence spending in real terms since data is available (the late 1980s - figure 1). Defence spending is set to rise over coming years, both in real terms and as a percentage of GDP. At the 2025 NATO summit in The Hague, member states committed to a 5% GDP spending target on defence and security-related spending by 2035.[1] Outside of NATO, Japan has committed to doubling its defence spending to 2% GDP by 2027, two years ahead of its original schedule. The Korean government has pledged to increase defence spending by 8.2% this year.[2] China has also been significantly increasing defence spending, by 7% in 2026 and Russian defence expenditure has grown dramatically since the start of its invasion of Ukraine.[3]

[1] NATO, April 2026
[2] Yonhap news agency, October 2025
[3] Reuters March 5th 2026

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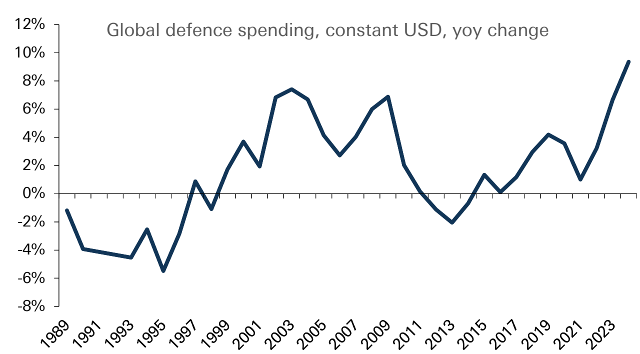
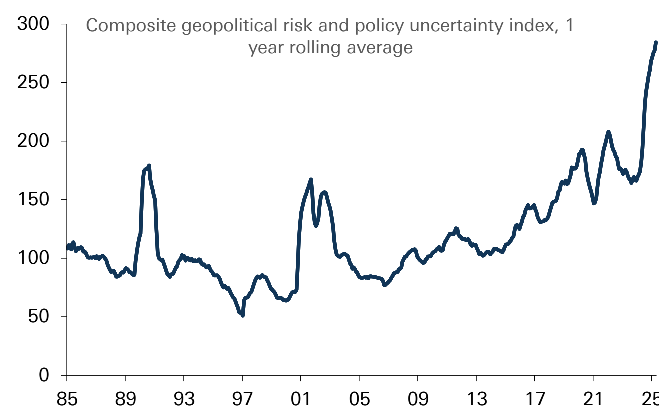
While the drivers of increasing defence spending are various (including rising nationalism, increased competition for raw materials), recent shifts in US policy have undoubtedly played an important role. The security umbrella established after the Second World War has come under strain from recent US policy decisions, including the withdrawal of military and financial support for Ukraine, tensions with EU allies over Greenland and most recently criticism of NATO allies over their decision not to back the recent US war against Iran. We have written in detail about increasing US reluctance to continue to provide 'global public goods' such as upholding an open international economic system and underpin western security, with the US pursuing a more self-interested policy agenda and exercising hard power and its economic networks more forcefully.[4] This in turn is an important motivating factor for US allies to pursue strategic autonomy in defence, as well as other areas such as energy and technology.

Figure 1: Fastest increase in global defence spending in decades in 2024



Source : Deutsche Bank, SIPRI Defence Database

Figure 2: Reflecting extremely elevated levels of geopolitical risk and policy uncertainty



Source : Deutsche Bank, Caldara, Dario and Matteo Iacoviello (2022), "Measuring Geopolitical Risk," American Economic Review, April, 112(4), pp.1194-1225. Baker, Bloom and Davis.

Rising defence expenditure: falling global savings

To understand better what impact rising defence expenditure could have on the global economy, we turn to the historical record. We make three important observations.

First, never underestimate how quickly defence expenditure can increase, especially if threat perceptions change. Back in September last year, we highlighted the period of rearmament during the 1930s as a useful historical parallel. Defence expenditure rose dramatically across future belligerents in only a few years. For example, defence spending as a share of GDP between 1935 and 1938 rose 2.5% for Italy, 3.7% for the UK, 8% for Germany and 17% for Japan (figure 3).

Second, fiscal constraints can be overstated. Although Britain's debt to GDP stood at well above 160% in the mid 1930s, the country was still able to significantly ramp up defence expenditure. Arguably, the most basic function of a state is to protect its citizens and guard its sovereignty. As such, if threat perceptions increase, defence spending tends to trump other spending priorities.

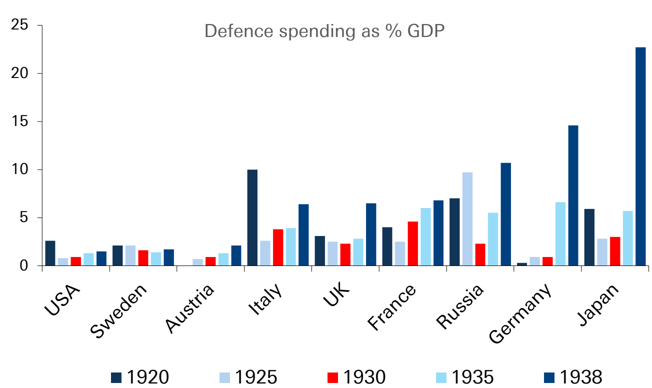
4 See, DB Special Report, "The Unruly hegemon; what a decline in US leadership means for markets," March 2025, EM Blog: Venezuela, hard power, geoeconomics and hemispheric dominance, January 2026 and "Geoeconomics 101," January 2026

Third, rising defence expenditure tends to be associated with falling savings. From a national income perspective, defence expenditure can largely be accounted for through increased investment and government consumption. An important if not crucial question is whether this comes at the expense of private consumption (leaving the savings rate unchanged) or whether consumption does not fully compensate (reducing overall saving).

There is evidence to suggest that household consumption does fall during periods of re-armament. For example, in 1930s Nazi Germany, economic historians have described forms of moral suasion such as national savings days to increase available funding for the military, before the 1936 Four Year Plan saw rationing of raw materials and consumption goods which limited household spending opportunities. It is also possible that the uncertainty caused by a more volatile world prompts households to save for precautionary purposes.

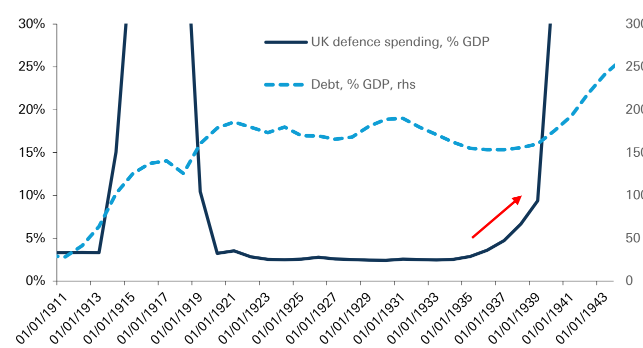
Nevertheless, efforts to increase national saving were never powerful enough to offset the demands of military investment at an aggregate level, reflected Germany's chronic current account deficit. And at the less extreme end of the spectrum, evidence also suggests that savings rates do fall. This was true in the UK during the late 1930s and the US following the start of the Vietnam War (figures 5 & 6).[5] There is also strong theoretical evidence to suggest that defence spending is not subject to the same Ricardian constraints as other government spending.Government spending on defence does not crowd out other forms of spending because without it, the government is no longer able to protect the ability of households to save for the future or bass on bequests to future generations. [6]

Figure 3: Defence expenditure rose dramatically among belligerents in the run up to WW2



Source : Deutsche Bank, Eloranta, J. "Pro Bono Publico? Demand for Military Spending Between the World Wars," Economic and Business History Society, 2017

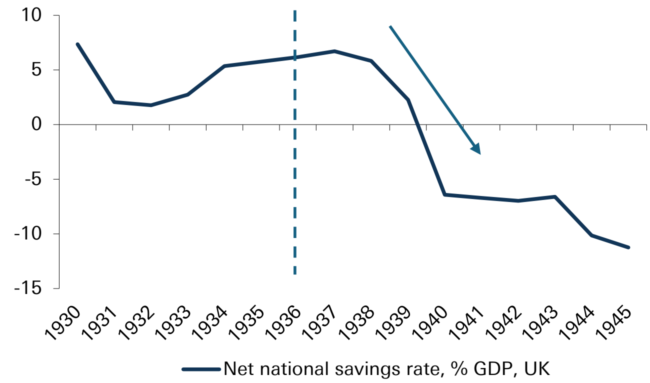
Figure 4: British defence spending rose in the 1930s in spite of very high debt levels



Source : Deutsche Bank, Bank of England Millennium of Macroeconomic Data

5 The UK savings rate does initially rise in the immediate aftermath of rearmament. However, this continued a trend established since the 1932 recession and rearmament did not truly start until 1937 after which national savings fell
6 See Seiglie, "Defence Spending in a Neo-Ricardian World." 1998

Figure 5: Savings rates initially rose then fell rapidly following re-armament in the 1930s



*Source : Deutsche Bank, Bank of England Millennium of Macroeconomic Data, * dotted lines represent start of rearmament*

Figure 6: They fell almost immediately in the Vietnam War

Source : Deutsche Bank, St Louis Fed, dotted lines represent start of rearmament

As we shall see, these observations have potentially highly important implications for global asset prices. We would note that while this report focuses specifically on defence, there are other sectors in which investment is likely to increase due to changing global political economy, especially energy infrastructure and technology. This should act to magnify the effect on global savings, even if the theoretical effect is clearest in the defence sector.

Falling global savings: shrinking global imbalances

Should increased defence expenditure globally act to increase investment without a corresponding fall in consumption, as we expect, the effect should be to raise interest rates, all being equal. In the long run, economic theory posits that the neutral rate of interest should be determined by the supply of and demand for savings.[7]

In the long run is an important caveat. In the short term, fiscal and monetary policy can also act to dampen the transmission channel. For example, during the Second World War, when British savings rates fell to very low levels, market interest rates remained extremely low. In part this was due to widespread financial repression policies, including capital controls, mandatory holdings of government debt and borrowing and consumer restrictions.[8]

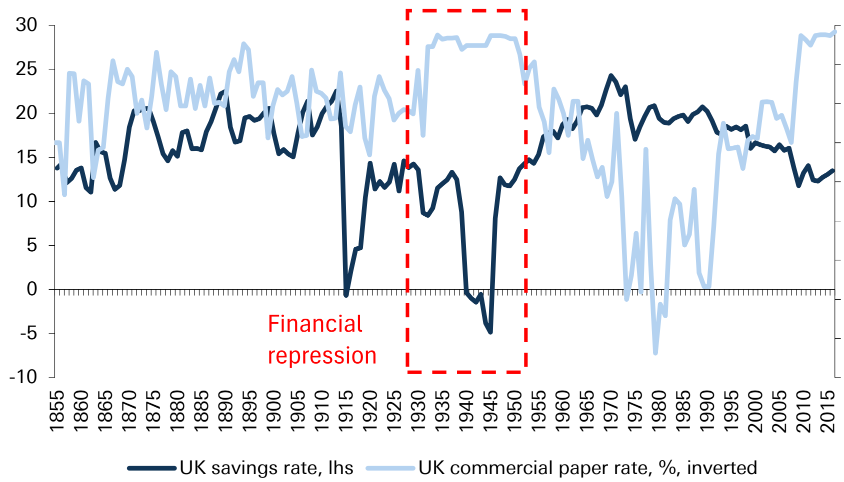
We should be careful in taking the 1930s comparison too far when it comes to the current geopolitical environment. But governments will be confronted with hard choices when it comes to financing additional defence expenditure, especially where public debt to GDP is already at high levels, and given that welfare spending is considerably higher as a share of GDP than 90 years ago. The interplay between defence expenditure, interest rates and government policy is especially relevant when it comes to international capital flows, which we focus on next.

This is because in an era of capital mobility, another important consequence of rising defence expenditure will be its effect on global imbalances. The world's largest net savers (those running the largest current account surpluses) are

7 For example, Federal Reserve Bank of San Francisco Economic Letter, April 2025
8 Mark Harrison, "Paying the price for war." University of Warwick

concentrated in three regions: Europe, East Asia and the Middle East (figure 9). These regions are also those seeing the largest increases in defence expenditure (figure 8), and where defence expenditure needs are likely to be the most pronounced over coming years.

Figure 7: In the Second World War, the government used financial repression to keep rates low despite collapsing savings



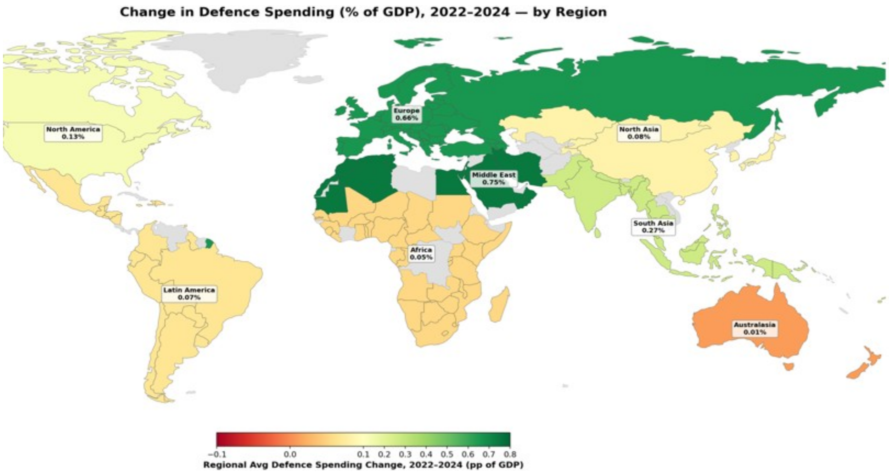
Source : Deutsche Bank, Bank of England Millennium of Macroeconomic Data

Increased defence expenditure will act to reduce global imbalances by reducing net savings in these three regions, in other words falling current account surpluses. But how will defence expenditure be financed? The quid pro quo of smaller current account surpluses should be reduced recycling of savings abroad via the financial account. From a political perspective, there are strong incentives to meet domestic financing needs from private savings rather than increased taxation or central bank financing. For one, it would be less politically unpopular than raising tax or inflation. For another, it reduces economic interdependencies which can make sovereign states vulnerable.

Indeed, as we noted in a recent note, tapping private savings was was a key channel of financing defence expenditure in World Wars 1 & 2. An even more extreme version of this could be outright repatriation of foreign assets to fund defence spending. Leading into the First World War, the economic historian Niall Ferguson has highlighted how international bond markets increasingly tilted towards 'home bias,' and during World War 2 Britain coerced private savers to swap dollar holdings in order to boost the Bank of England's foreign exchange reserves.

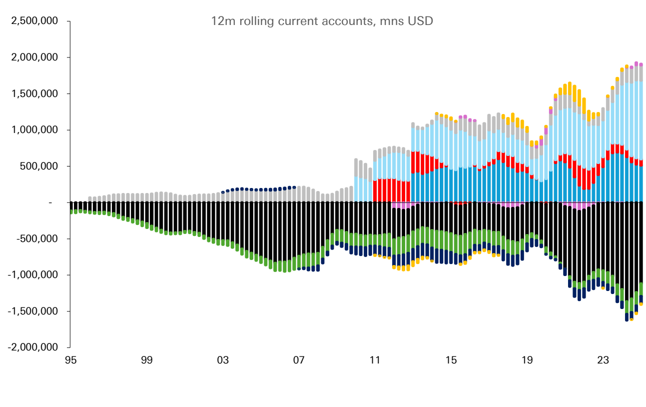
On the deficit side of global imbalances, as figure 9 shows, one country contributes more than any other combined, namely the United States. And it is also the case, when it comes to stocks, that the largest holders of US assets (when excluding the Caribbean holdings which are largely reflective of tax benefits rather than ultimate beneficial ownership) are once again: Europe, East Asia and the Middle East. In other words, if global imbalances fall due to increased defence spending, it is US deficits that may end up being the most vulnerable.

Figure 8: Europe, North Asia and the Middle East are seeing the biggest increases in defence expenditure



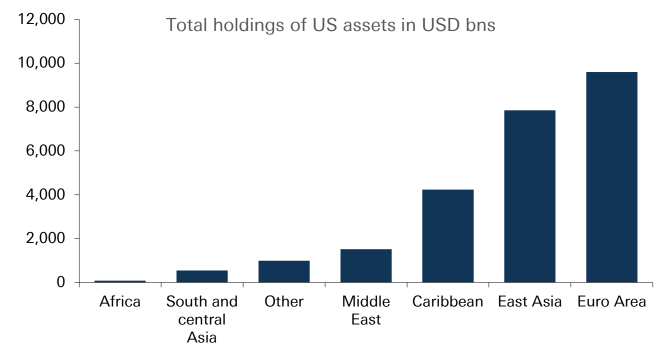
Source : Deutsche Bank, SIPRI Defence Database

Figure 9: Global surpluses driven by similar regions to where defence spending is going to rise the most, global deficits driven by the US



*Source : Deutsche Bank, Haver Analytics, *note time series not continuous due to data availability issues*

Figure 10: Similarly, holdings of US assets are concentrated in regions that need to re-arm



Source : Deutsche Bank, US Treasury TIC Data

This, however, is logical. With a reduced US security commitment to traditional allies, it is inconsistent for the private savings of those allies to be channeled to the US to the same extent as domestic financing needs increase.

The current account channel: can US defence exports compensate?

Reduced recycling of private savings into the US on account of growing defence spending may not necessarily be negative for the dollar. If US deficits are vulnerable to less recycling of private savings in the rest of the world, the US current account should adjust. But this could happen for dollar-positive reasons if the US is able to provide defence equipment and services through its exports.

The push for defence spending is already evident in the data. For example, although volatile, defence-related machinery orders in Japan and capital goods orders in

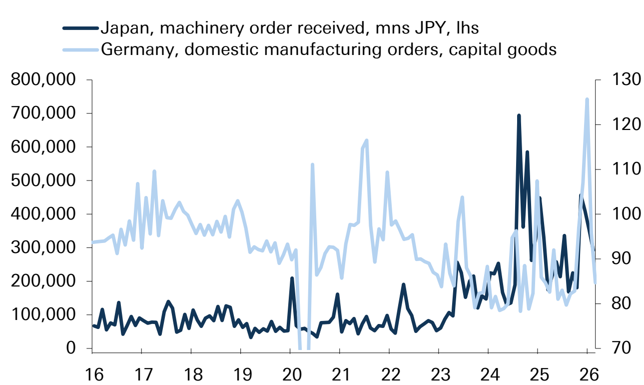
Germany have risen to record high levels in the last four years (figure 11). At the same time, US defence exports have also risen to record levels (figure 12). Nevertheless, while we think that increased US defence exports may compensate the effects on the financing of US deficits in the short term, over the medium term we think this is less likely.

First, although there is a large investment and expertise gap in the defence industry in regions such as Europe, East Asia and the Middle East, which will require imports to fill, over the medium term policymakers are attempting to build up domestic industrial bases and increase strategic autonomy in defence.[9] For example, the EU has identified seven capability gaps, from air and missile defence to AI, Quantum, Cyber and Electronic Warfare with the aim of building a defence base that will enable the EU to conduct the entire spectrum of military tasks. The European Defence Industrial Strategy has put a target of at least 50% defence procurement being sourced from the European industrial base by 2030 and 60% by 2035. To be sure, the starting point presents a challenge - our European economists estimated that 78% of defence procurement went to non-EU providers of which 63% went to the US at the start of last year.[10] But the European Commission also note that European defence industry turnover has grown from EUR 124bn in 2021 to EUR 183bn in 2024.

Second, procurement is only one part of the defence budget. For example, although in the EU it makes up the majority of the investment budget, the EUR 88bn spent in 2024 on procurement is less than a quarter of the total (EUR 381bn) spent overall.

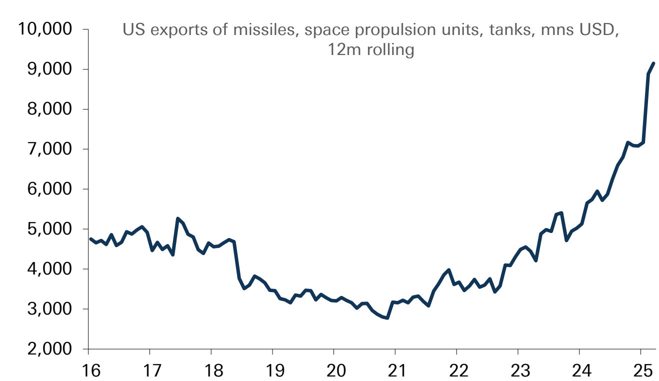
Another reason to doubt that US exports will fully compensate for the reduced ability of allies to finance US deficits is that the Trump administration is itself proposing a major increase in defence expenditure as part of the 2027 Budget, amounting to up to USD 1.5 trillion, nearly a USD 500bn increase from the previous year. It seems unlikely that US industry could simultaneously fully meet global demand for defence equipment and its own domestic demand under government spending plans.

Figure 11: Defence orders in Europe and Japan have already surged in the last three years



Source : Deutsche Bank, Haver Analytics

Figure 12: US defence exports are also climbing rapidly but are unlikely to fully compensate



Source : Deutsche Bank, Haver Analytics

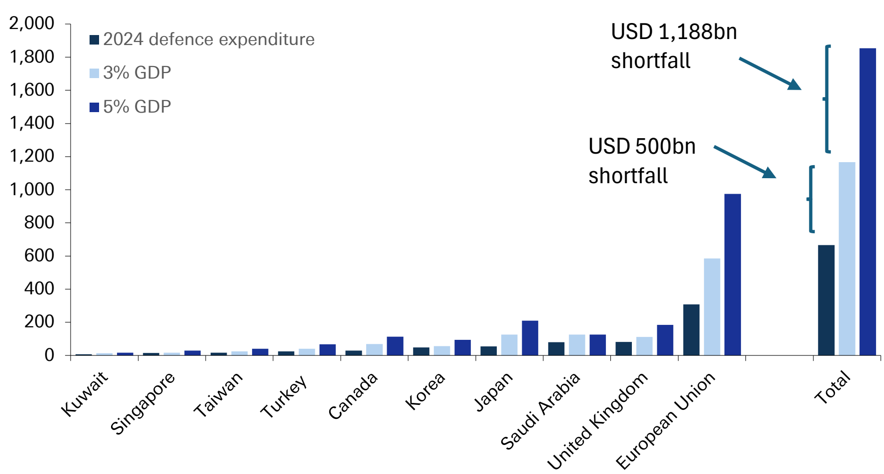
9 See the ReArm Europe Plan, Readiness 2030
10 See Mark Wall and team, "Focus Europe: Defending Europe Part 3, January 2025

Quantifying the impact

This analysis has suggested that rising defence spending will reduce global savings and compress global imbalances. Because the US deficit is the counter-point to savings in Europe, East Asia and the Middle East, recycling of private savings into the US is likely to diminish, putting pressure on the dollar. In the short term, increased US defence exports may compensate somewhat, but these are unlikely in the medium term to fill the gap.

Can we quantify the impact on USD? Future defence needs are subject to a huge amount of uncertainty but for the sake of simplicity we identify 'defence gaps' among a sub-set of economies where pressure to raise defence spending may be most acute. The first defence gap is based on a hypothetical 3% GDP defence spending target, the second a 5% target. We calculate this based on 2024 GDP in current prices, and compare it to updated defence spending from the SIPRI database for the same year. The results are striking. Under the 3% 'gap', the shortfall amounts to USD 500bn and under the 5% 'gap', the shortfall amounts to USD 1.2 trillion. By way of comparison, the 2024 US current account deficit amounted to USD 1.185 trillion. Of course, this is a highly partial equilibrium analysis, ignoring other aspects of supply and demand for global savings. But at a minimum, it suggests that the effect of increased defence spending on savings rates and current accounts will not be trivial.

Figure 13: Quantifying the defence gap - the additional spending is not trivial



Source : Deutsche Bank, IMF , SIPRI database

Conclusions

This report has focused on providing a framework for how increased global defence spending - a trend likely to be accelerated by the current conflict in the Middle East - will act upon global macro, focusing on savings rates and global imbalances.

We have concentrated on only one sector where investment is likely to rise among US allies over coming years. As noted at the start of this piece, other sectors where investment is likely to rise is energy infrastructure and technology. Our colleagues have focused on other areas in which the furling of the US security umbrella could have major ramifications, for example by reducing incentives to spend dollars in energy markets or accelerating the transition towards new energy sources.[11] When dovetailing with defence spending, the investment in strategic autonomy in these areas will act as another powerful force depressing global imbalances. And even within the defence sector, there are other implications we have not explored, such as the currency invoicing of trade and the multipliers of defence spending. This will provide fruitful ground for further research.

11 Mallika Sachdeva, "What Iran means for the dollar: a perfect storm for the petrodollar."

Appendix 1

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